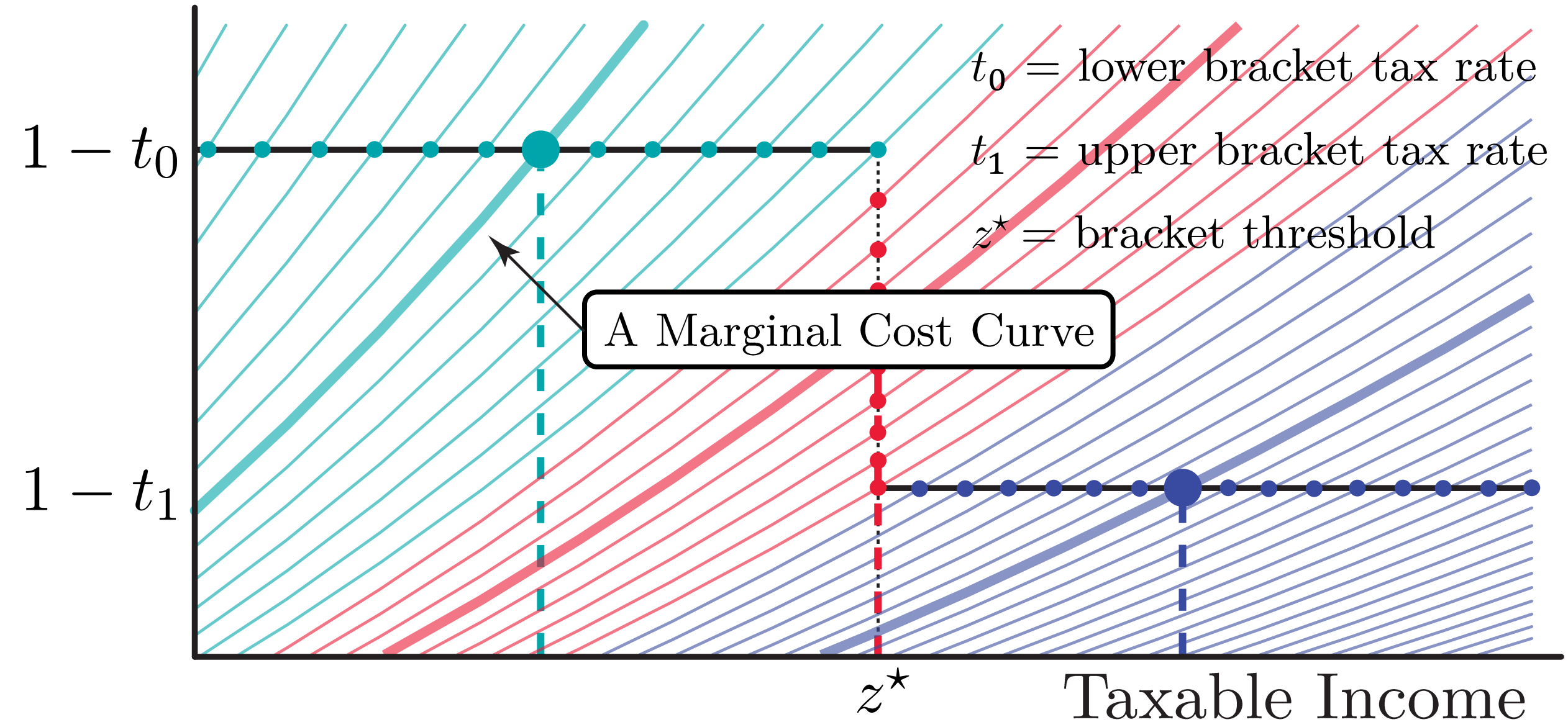
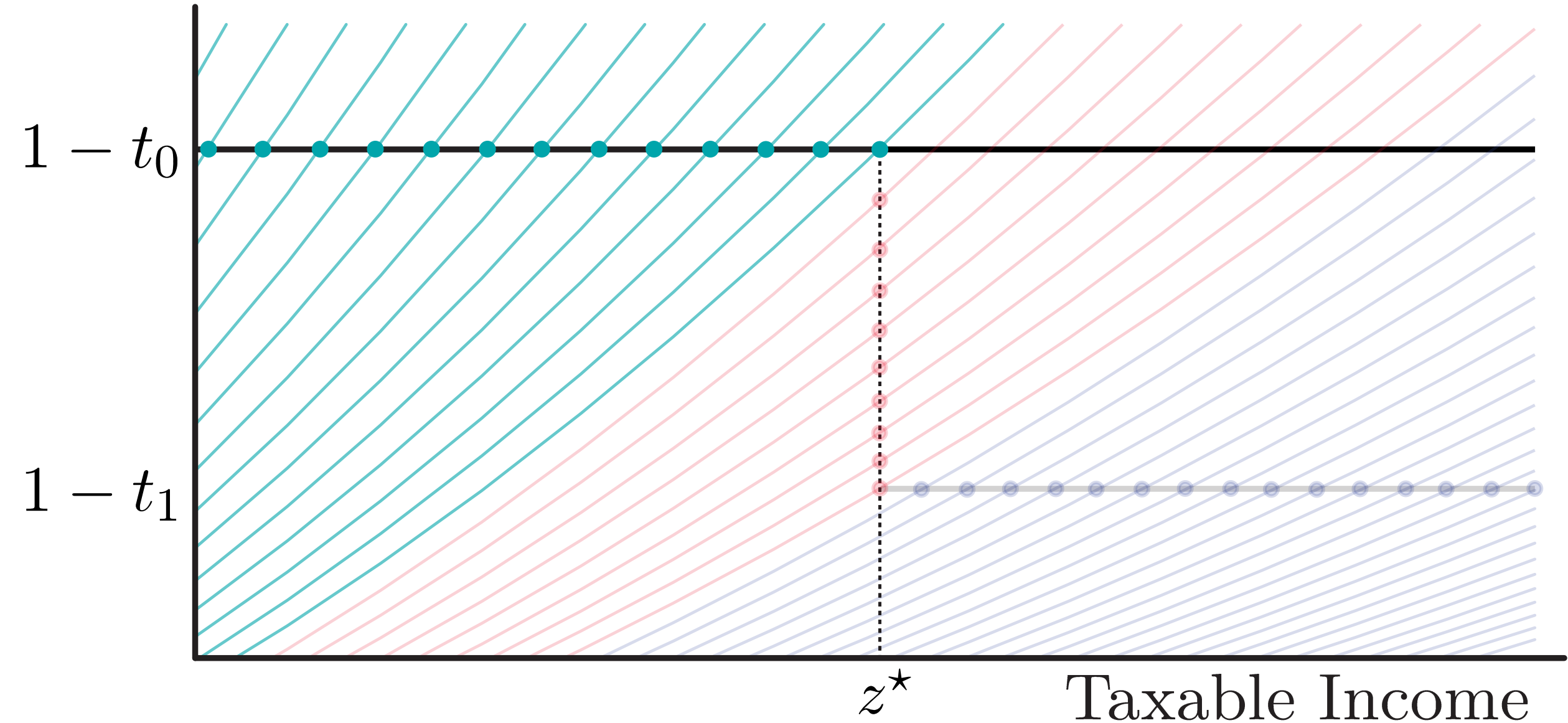


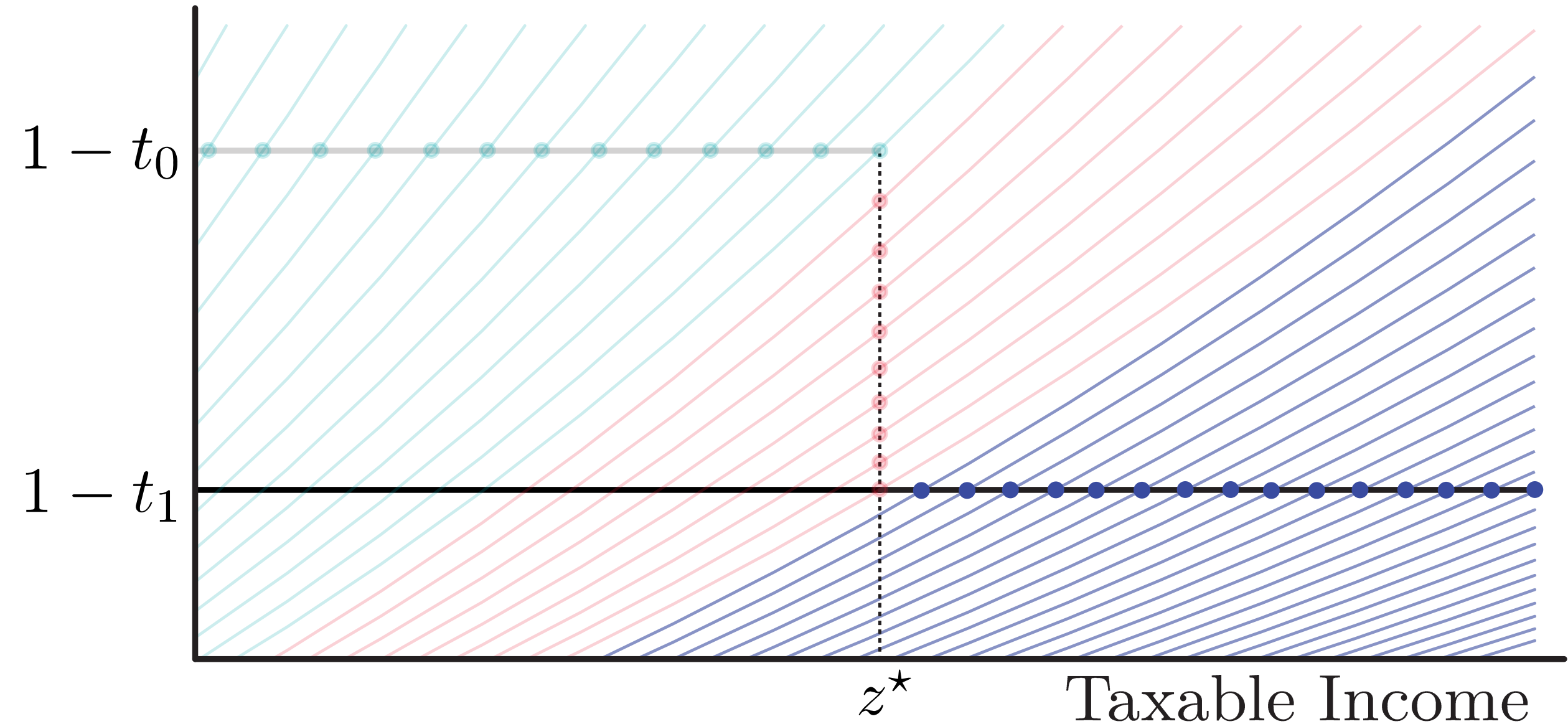
Consider a two-bracket tax schedule where...



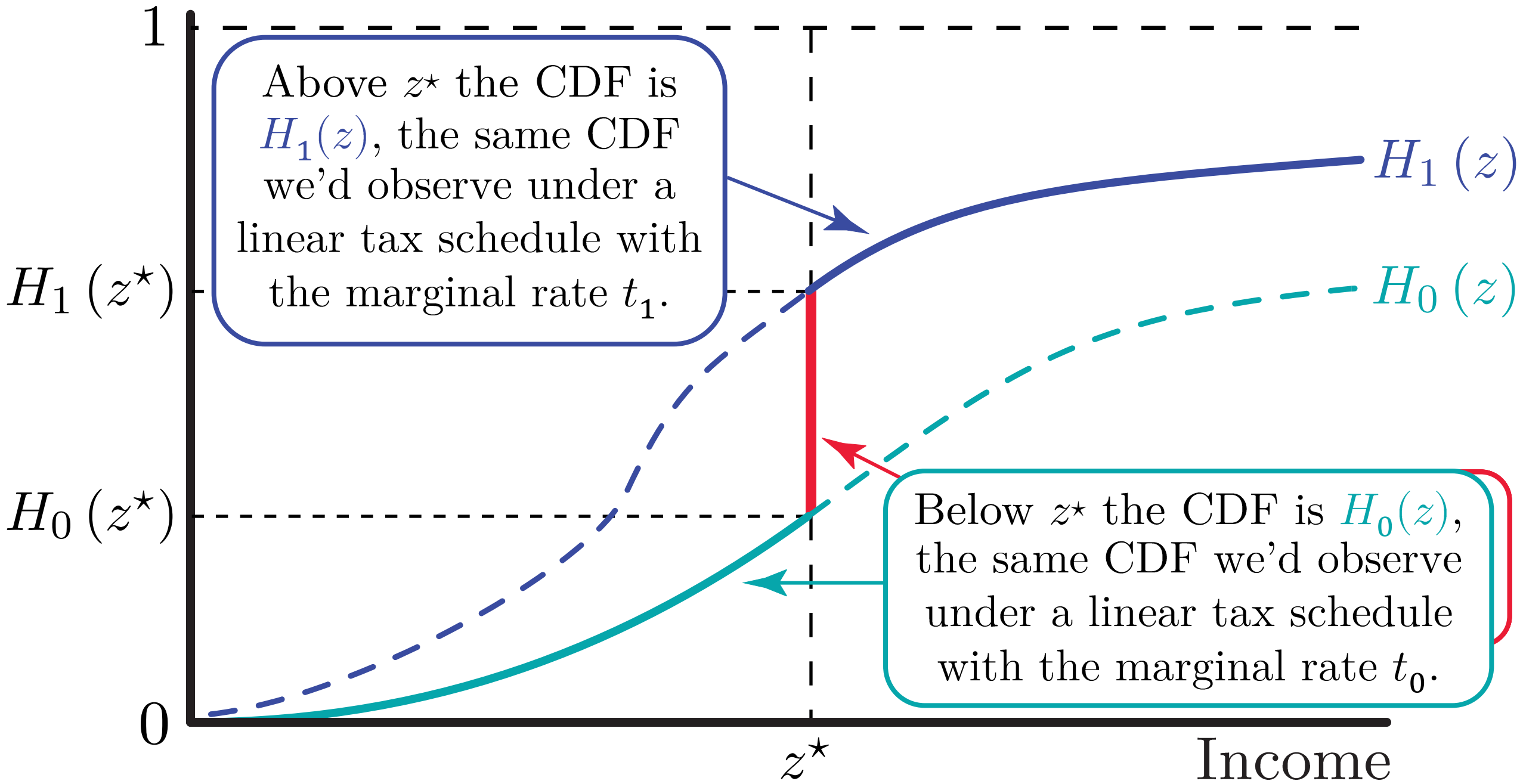
Lower bracket taxpayers choose the same income they would under a linear tax schedule with marginal rate t_0 .



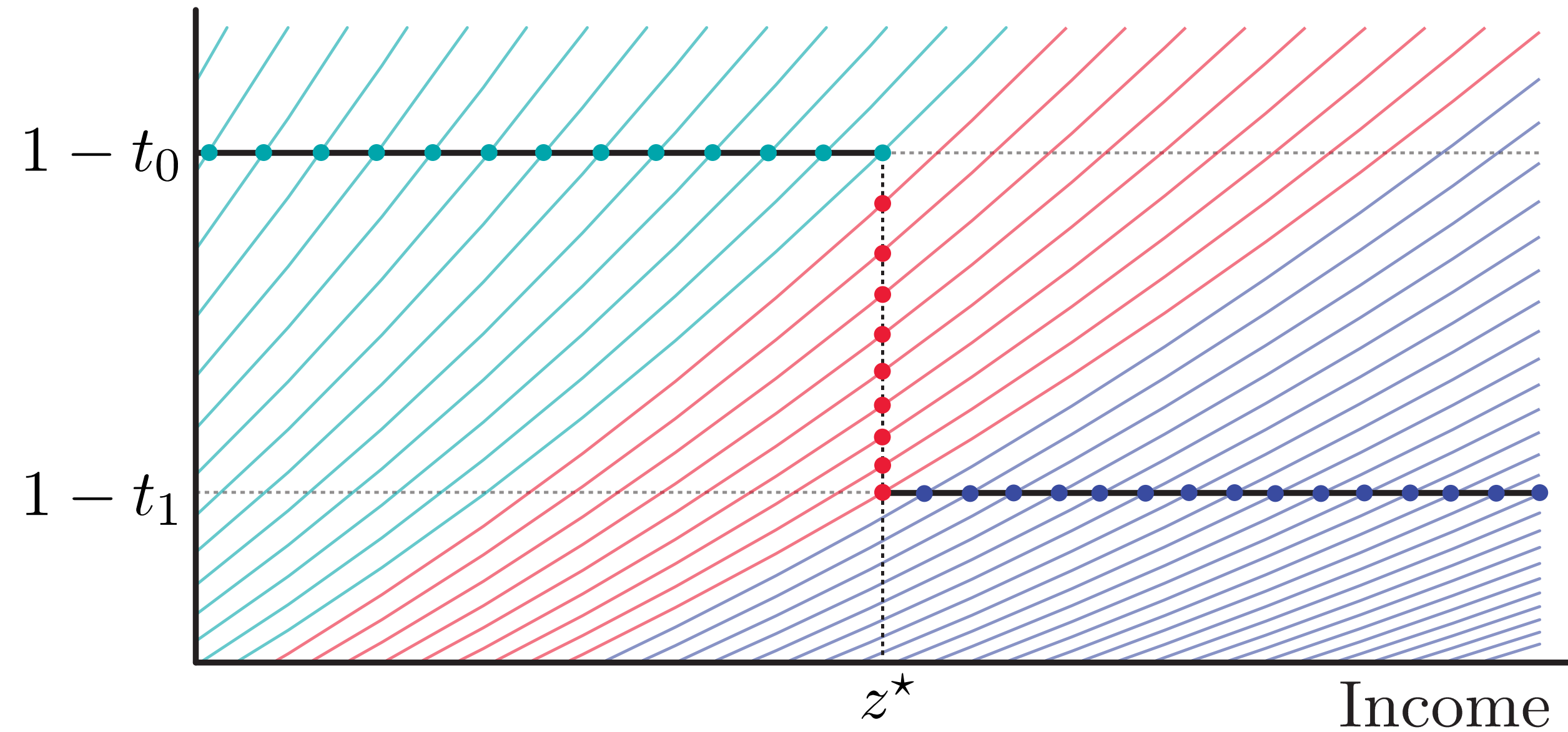
Upper bracket taxpayers choose the same income they would under a linear tax schedule with marginal rate t_1 .



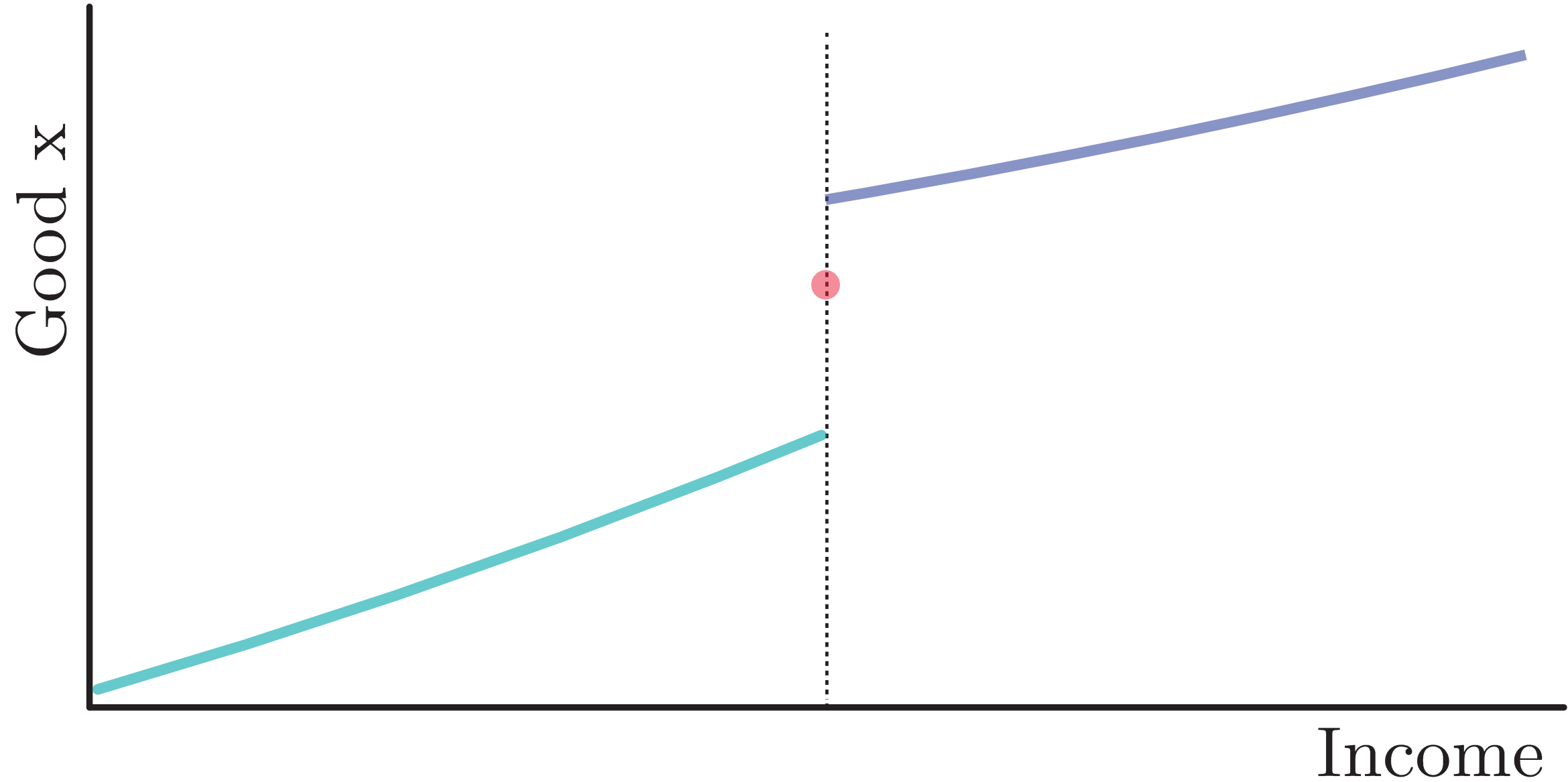
The CDF of taxable income



Choices of Taxable Income



Choices of Other Good x



Under Atkinson-Stiglitz Assumptions

